

SAMPLE ARTIFACT · 04 OF 07

Slack Workflow Examples

Raw engineer input → DCAA-compliant labor distribution entries

Client (synthetic)	Vantage Aerospace Systems
Contract	N68335-26-C-0147 — Navy SBIR Phase I
Slack channel	#phaseone-labor-log (private, invite-only)
Period sampled	March 2026
Artifact type	Workflow reference — not a submission document

How this works

Engineers post a 10-second raw update into a private Slack channel. The PhaseOne AI layer intercepts each message, classifies the activity against the contract's SOW and approved CLINs, rewrites the entry in DCAA-compliant labor distribution language, and commits it to the Audit Vault within 3 seconds. Engineers never leave Slack. The compliant record is produced automatically and is available for export at any time via the contractor's PI or CFO.

The four examples below are drawn from a synthetic March 2026 ledger. They illustrate the four most common translation patterns: **direct technical work**, **indirect/allocable activity**, **unallowable cost detection**, and **ambiguous activity requiring clarification**.

#	Pattern	What it demonstrates
1	Direct technical work	Raw status mapped to a specific CLIN and labor category; benefit-derived
2	Indirect / allocable	Work that is compensable but not charged to the contract — G&A pool
3	Unallowable cost detected	Activity flagged against FAR Part 31 before it enters the cost pool
4	Ambiguous — clarification	AI detects low-confidence mapping and asks one follow-up in-channel

EXAMPLE 1

Direct technical work

Benefit-derived labor mapped to a specific CLIN and approved labor category

Marcus RodriguezSoftware Engineer IIITue Mar 10 · 4:47 PM

spent the afternoon fixing the backend API – the auth token kept expiring mid-request when we hit the sensor fusion endpoint. 3.5 hrs debugging + patch

→ DCAA COMPLIANCE LEDGER ENTRY	
LOG ID	VAS-2026-03-0147
ENGINEER	Rodriguez, Marcus – Software Engineer III
DATE OF WORK	2026-03-10
HOURS LOGGED	3.5 (direct)
CLIN	CLIN 0002 – Prototype Software Development
LABOR CATEGORY	Software Engineer III (SCA equivalent: Computer Systems Analyst III)
DCAA DESCRIPTION	Diagnosis and remediation of authentication token expiration defect in sensor fusion REST API endpoint. Activity comprised defect reproduction, trace analysis, root-cause identification (session timeout misconfiguration in token refresh handler), code patch, and regression verification. Benefit accrues directly to the Phase I prototype software baseline under CLIN 0002.
ALLOWABILITY	Allowable – direct contract cost
STATUS	[OK] Committed to Audit Vault · 2026-03-10 16:47:12 UTC

Translation reasoning (AI trail)

• Activity type classified as **direct technical work** — benefit is contract-specific and identifiable to CLIN 0002 prototype software.

• Informal language ("fixed backend API") expanded to defect-remediation terminology required by DCAA Contract Audit Manual §5-909.

• Endpoint name ("sensor fusion") cross-referenced against SOW §3.2 — matches Task 2 deliverable, confirming CLIN 0002 mapping.

• Labor category assigned from contractor's approved wage determination on file.

• Hours (3.5) accepted without clarification — within normal daily distribution range for this engineer.

REGULATORY BASIS — FAR 31.202 (Direct costs) · DCAA CAM §5-909 (Labor floor-check evidence) · DFARS 252.204-7012 (data handling)

EXAMPLE 2

Indirect / allocable activity

Compensable labor that does not benefit a single final cost objective — routes to indirect pool

Priya Patel

Principal Investigator

Wed Mar 11 · 10:12 AM

2 hrs this morning on the company all-hands + reviewing the updated expense policy with finance. not contract-specific

→ DCAA COMPLIANCE LEDGER ENTRY

LOG ID	VAS-2026-03-0148
ENGINEER	Patel, Priya – Principal Investigator
DATE OF WORK	2026-03-11
HOURS LOGGED	2.0 (indirect – G&A)
CLIN	– (not a direct charge)
COST POOL	General & Administrative (G&A)
LABOR CATEGORY	Principal – G&A allocation
DCAA DESCRIPTION	Company-wide all-hands meeting attendance and review of revised corporate expense policy with Finance. Activity benefits the enterprise as a whole and cannot be identified to a single final cost objective; recorded as G&A indirect labor in accordance with the contractor's approved indirect rate structure.
ALLOWABILITY	Allowable – indirect pool (G&A)
STATUS	[OK] Committed to Audit Vault · 2026-03-11 10:12:44 UTC

Translation reasoning (AI trail)

• Self-identified as "not contract-specific" — high-confidence indirect classification.

• All-hands attendance and corporate-policy review are classical G&A activities per FAR 31.201-4 allocability criteria. Benefit is enterprise-wide, not contract-final.

• Hours routed to indirect pool — **not** charged to CLIN. This is the single most common DCAA finding in Phase I audits when it is done wrong.

• PI's time on indirect activity is recorded but excluded from direct labor distribution on the contract — preserves integrity of CLIN-level burn rates.

REGULATORY BASIS – FAR 31.201-4 (Allocability) · FAR 31.203 (Indirect costs) · DCAA CAM §6-606

EXAMPLE 3

Unallowable cost detected

AI flags activity against FAR Part 31 before it enters the cost pool

James O'Brien

Hardware Engineer

Thu Mar 12 · 7:23 PM

took the potential DoD customer from NAVAIR out to dinner after the demo today – 4 hrs total including the demo itself. good meeting

→ DCAA COMPLIANCE LEDGER ENTRY

LOG ID	VAS-2026-03-0149 (split)
ENGINEER	O'Brien, James – Hardware Engineer
DATE OF WORK	2026-03-12
HOURS – ALLOWABLE	2.5 · Technical demonstration to DoD stakeholder
HOURS – UNALLOWABLE	1.5 · Customer entertainment (dinner)
CLIN (ALLOWABLE PORTION)	CLIN 0003 – Prototype Hardware Integration
DCAA DESCRIPTION (ALLOWABLE)	On-site technical demonstration of integrated hardware prototype to NAVAIR stakeholder. Activity benefits Phase I prototype baseline under CLIN 0003.
UNALLOWABLE TREATMENT	Post-demonstration meal with prospective customer segregated to the unallowable cost account per FAR 31.205-14 (Entertainment costs). Labor hours and any associated expense are excluded from direct and indirect cost pools billable to the Government.
ALLOWABILITY	[!] Split – 2.5 allowable / 1.5 unallowable
STATUS	[OK] Allowable portion committed · [!] Unallowable portion segregated · Slack thread notification sent to PI

Translation reasoning (AI trail)

- Single Slack entry contained two distinct activity types — **split processing** triggered per PhaseOne rule-set R-14 (mixed-allowability detection).
- "Took the customer out to dinner" matched unallowable-expense signature set; FAR 31.205-14 expressly disallows entertainment costs — meals with customers for relationship-building purposes included.
- Technical demonstration portion is directly allocable to Phase I hardware prototype effort — CLIN 0003 per SOW §3.3.
- PI (Patel) notified via Slack DM within 90 seconds. This is the contemporaneous documentation DCAA expects under CAM §7-1000 — not a post-hoc reconstruction.

• **Why this matters:** had this entry been logged as a single 4-hour CLIN 0003 charge, it would have been a finding at audit. Unallowable costs billed (even unintentionally) trigger penalty under FAR 42.709.

REGULATORY BASIS – FAR 31.205-14 (Entertainment – unallowable) · FAR 42.709 (Penalties) · DCAA CAM §7-1000 (Unallowable costs)

EXAMPLE 4

Ambiguous activity — clarification requested

Low-confidence mapping triggers an in-channel follow-up before the entry is committed

Sarah Chen

Research Engineer II

Fri Mar 13 · 2:04 PM

1.5 hrs on the algorithm work

PhaseOne Bot

Compliance assistant

Fri Mar 13 · 2:04 PM

@sarah – logging 1.5 hrs for you. Quick clarification needed before commit:

[A] Adaptive Kalman filter tuning – CLIN 0001 (Algorithm R&D)

[B] Path-planning optimizer – CLIN 0002 (Prototype Software)

[C] Other – please specify

Reply with A / B / C. No pressure, I'll hold the entry as pending for 4 hrs.

Sarah Chen

Research Engineer II

Fri Mar 13 · 2:11 PM

A

→ DCAA COMPLIANCE LEDGER ENTRY

LOG ID	VAS-2026-03-0150
ENGINEER	Chen, Sarah – Research Engineer II
DATE OF WORK	2026-03-13
HOURS LOGGED	1.5 (direct)
CLIN	CLIN 0001 – Algorithm Research & Development
LABOR CATEGORY	Research Engineer II
DCAA DESCRIPTION	Adaptive Kalman filter parameter tuning for multi-sensor state estimation under the Phase I algorithm research effort. Activity benefits CLIN 0001 directly per SOW §3.1 Task 1.
ALLOWABILITY	Allowable – direct contract cost

CLARIFICATION LOG	Initial input ambiguous ("algorithm work"). AI presented 3 candidate mappings; engineer selected [A] at 2:11 PM. Elapsed resolution: 7 minutes. Both the original message and the clarification are preserved in the audit trail.
STATUS	[OK] Committed to Audit Vault · 2026-03-13 14:11:29 UTC

Translation reasoning (AI trail)

- Input "algorithm work" matched two active CLINs with roughly equal confidence (0.52 vs 0.48) — below the 0.80 threshold for auto-commit.
- Instead of guessing or dropping the entry, the AI asked a **single** targeted follow-up. Multiple-choice format keeps the engineer's response cost at one keystroke.
- Both the original message and the clarification are preserved in the audit trail — contemporaneous evidence per DCAA CAM §5-909.
- **Why this matters:** DCAA auditors specifically look for evidence of labor-charging judgment *made at the time of work*, not reconstructed weeks later. This exchange is defensible on its face.

REGULATORY BASIS — DCAA CAM §5-909 (Contemporaneous labor evidence) · FAR 31.201-6 (cost reasonableness)

SAMPLE
SYNTHETIC DATA — NOT A REAL

What the DCAA auditor receives

The four examples above produce ledger entries in the Audit Vault. At pre-award audit time, the PI or CFO exports a single CSV containing every entry for the period under review. That CSV — **not** the Slack messages — is what the auditor sees.

Export shape (excerpt — same 4 entries, CSV format):

log_id	engineer	date	hours	clin	allowability
VAS-2026-03-014 7	Rodriguez, M.	2026-03-10	3.5	0002	Allowable
VAS-2026-03-014 8	Patel, P.	2026-03-11	2.0	— (G&A)	Allowable (indirect)
VAS-2026-03-014 9a	O'Brien, J.	2026-03-12	2.5	0003	Allowable
VAS-2026-03-014 9b	O'Brien, J.	2026-03-12	1.5	—	Unallowable (31.205-14)
VAS-2026-03-015 0	Chen, S.	2026-03-13	1.5	0001	Allowable

What the auditor does not see

- Raw Slack messages. The informal language stays inside Slack.
- The clarification back-and-forth. Only the final committed entry and its trail flag are in the export.
- Any channel unrelated to labor logging. Scope is limited to the #phaseone-labor-log channel.

NEXT IN PACKAGE

See [weekly-pre-auditor-report.pdf](#) for how these entries are scanned against 7 pre-audit rules before each week closes, and [sf1408-gap-assessment.pdf](#) for the full SF-1408 accounting-system readiness posture this pipeline produces.